



Professional Diploma in

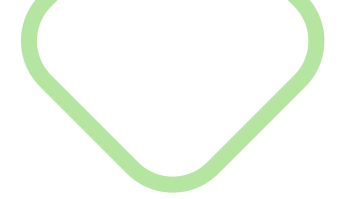
Project Management

Change, Risk, Procurement, and Acceptance Management



**Did you
know?**

The majority of global senior executives and project management experts say good project management is key to gaining a competitive edge.





Change Management <

Risk Management <

Procurement Management <

Acceptance Management <

Objectives

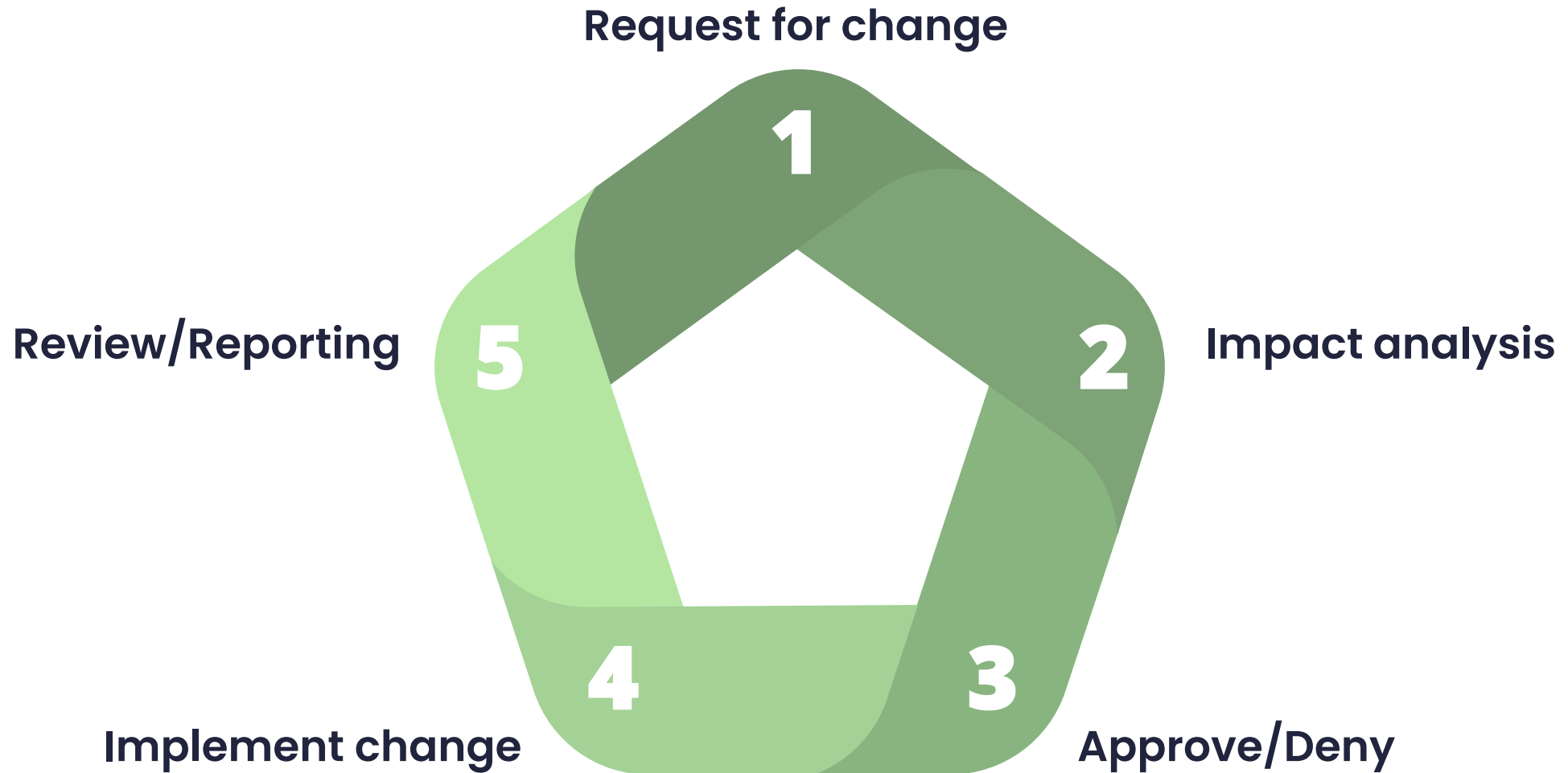
Lesson 5



Change management



Change management process





Change request

- Have you done enough research to stand by your suggestion?
- Is the change within the defined project scope?
- Will implementing the change contribute to project goals?
- Would the change be considered high priority (RAG) ?
- What resources would be needed to implement the change?





Distinguish between necessary nice-to-have!

- What external business change has resulted in this change request?
- What internal factor has resulted in this change request?
- How will this change affect the time taken to complete the project?
- How will this change affect the use of the end-product?
- What cost-savings will be made by implementing this change?

Impact analysis



Change sequence



Estimate time, cost,
& resources



Establish priority

A hand holding a pen over a document on a clipboard. The background is a dark blue vertical bar with white text.

Decision by change management board

- Present proposed change
- Project managers may approve minor changes (situation based)

Three outcomes:

- Approval
- Rejection
- Deferment



“

**For special cases, you
may need to bypass
the change
management board.**



”



Implement change

- Update project deliverables to align with the change
- Update stakeholders
- Update Change Control Register
- Update the project team
- Incorporate change cost, time, and scope into project plans and schedules

Change review



Impact on the project
outcomes



Information is
detailed and accurate



Access impact on
operations



Risk management

Identify risks

Main risk types

Financial

Schedule

Performance

Technical

Unforeseen
circumstances

Environmental

How can you identify risks?

- Interview key stakeholders
- Liaison with clients
- SWOT analysis
- Known unknowns



Identify risk category



KNOWN
KNOWN

UNKNOWN
UNKNOWN

KNOWN KNOWN

Things we are aware of and understand.

KNOWN

UNKNOWN

Identify risk category



KNOWN

UNKNOWN

		KNOWN UNKNOWN Things we are aware of but don't understand.

KNOWN

UNKNOWN

Identify risk category



KNOWN S

UNKNOWN S

UNKNOWN KNOWNS Things we understand but are not aware of.	

KNOWN S

UNKNOWN S

Identify risk category



KNOWN

UNKNOWN

KNOWN

UNKNOWN

UNKNOWN UNKNOWN

Things we are neither aware of
nor understand.



Analyse & respond to risks



**Accept the
risk**

**Avoid the
risk**

**Transfer the
risk**

**Mitigate the
risk**





Analyse & respond to risks



**Looking for
a quick fix/
magic
bullet**

**Avoid the
risk**

**Transfer the
risk**

**Mitigate the
risk**





Analyse & respond to risks



Looking for
a quick fix/
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Looking for
'the secret'
to health &
longevity

Transfer the
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Analyse & respond to risks



Looking for
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magic
bullet

Looking for
'the secret'
to health &
longevity

Looking for
guidance

Mistrust of
the
scientific
health
community



Risk Matrix – Measuring and prioritising risks

		Impact →				
		Negligible	Minor	Moderate	Significant	Severe
Likelihood ↑	Very likely	Low Med	Medium	Med Hi	High	High
	Likely	Low	Low Med	Medium	Med Hi	High
	Possible	Low	Low Med	Medium	Med Hi	Med Hi
	Unlikely	Low	Low Med	Low Med	Medium	Med Hi
	Very unlikely	Low	Low	Low Med	Medium	Medium

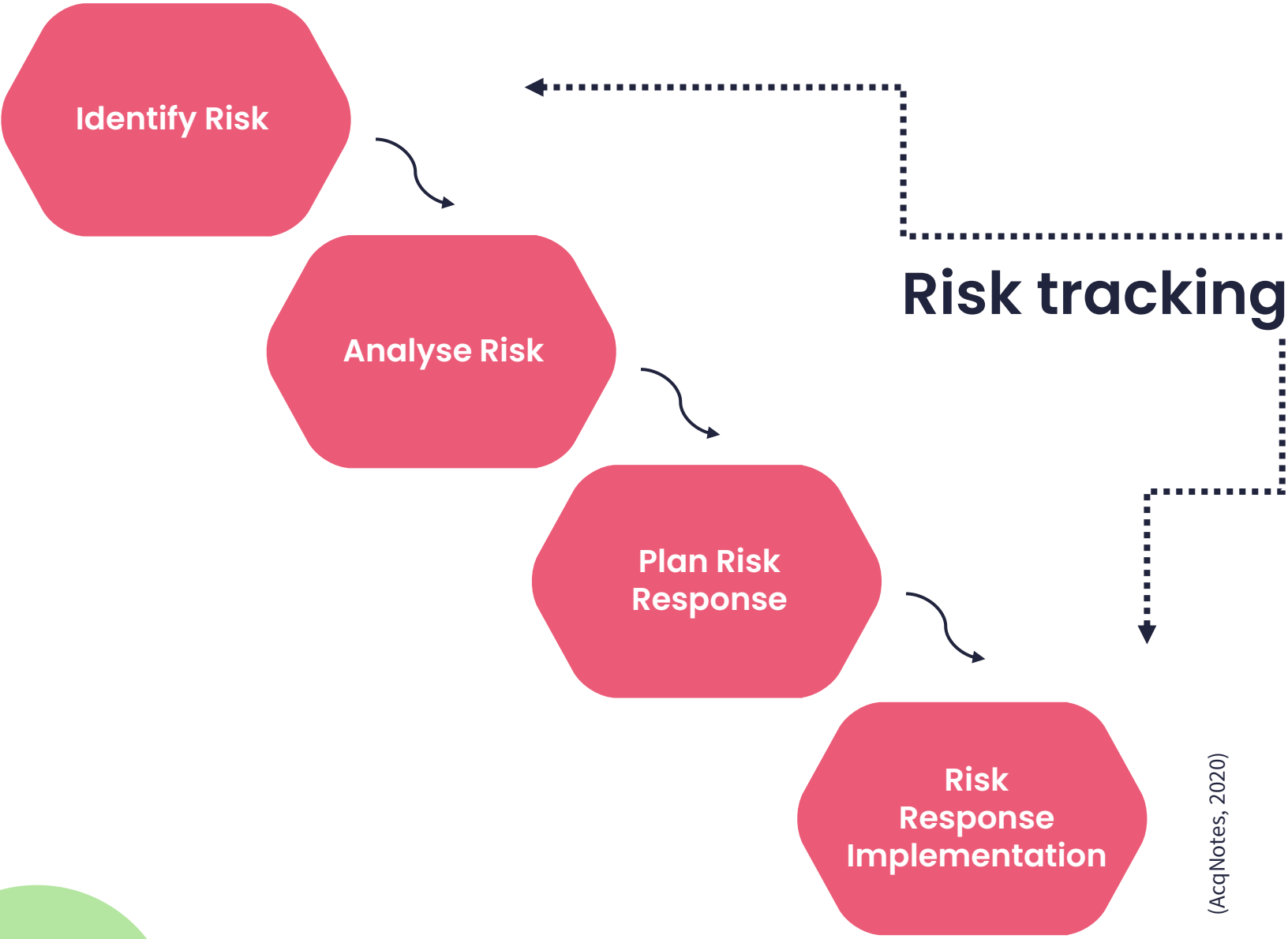


Risk register – office relocation example

Risk id	Description	Risk category	Risk owner	Impact	Risk level	Risk response
1	Equipment damage	Technology	John Doe	High	Medium	AVOID



Risk tracking and monitoring



(AcqNotes, 2020)



Responsible

Accountable

Consulted

Informed





Procurement management



What is procurement?

Acquiring:

- Skills
- Products
- Services

Exchange is governed by contracts determining:

- Quality
- Change time (delivery/deadlines)
- Vendors

Make or buy?

Make	Buy/Outsource
Risk ownership	Transfer risk
Resource availability	External expertise
Direct quality control	Supervisory quality control
Unexpected costs	Measurable costs
Risk of scope creep	Scope controlled





If you needed to have photos taken of a potential building site, would you hire an architectural photographer or let a staff member take them?



The Procurement Plan

- Designed to help stakeholders to decide whether to outsource
- Details all items/services that need to be sourced externally
- Identify necessary external resources
- Create a Statement Of Work (SOW)



(Investopedia , 2020)



Conduct procurement

- Evaluate potential sellers using:
 - Bid packages
 - Bidder conferences
 - Stakeholder evaluation
- Select the most suited to handle the work
- Multiple vendors may be chosen

Control procurement

- Reinforces contractual obligations
- Making use of procurement doesn't mean it is no longer your problem!
- Ensure you have scheduled:
 - Status meetings
 - Quality evaluation





Close procurement

- Completion criteria will have been completed as detailed in your procurement contract
- Closure involves processes such as:
 - Finalising open claims
 - Updating records & archiving for future use
 - Financial closure
 - Procurement audit
 - Final product performance reporting
 - Lessons learned

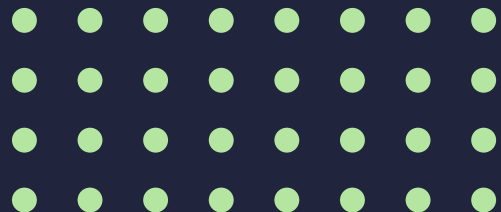


Acceptance management





What is acceptance management?

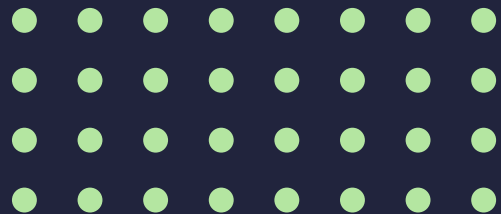


“Without a clear understanding of the dynamics of acceptance, the project will never be completed satisfactorily, on schedule, and within budget.”



User stories

- A requirement for required functionalities or features written down using a simple structure
- Helps developers ensure deliverables are completed correctly





**User story
example:
Susan**

A

B

C



**User story
example:
Susan**

**As a
manager,**

B

C



**User story
example:
Susan**

**As a
manager,**

**I want to
be able
to alter
stock
numbers**

C



**User story
example:
Susan**

**As a
manager,**

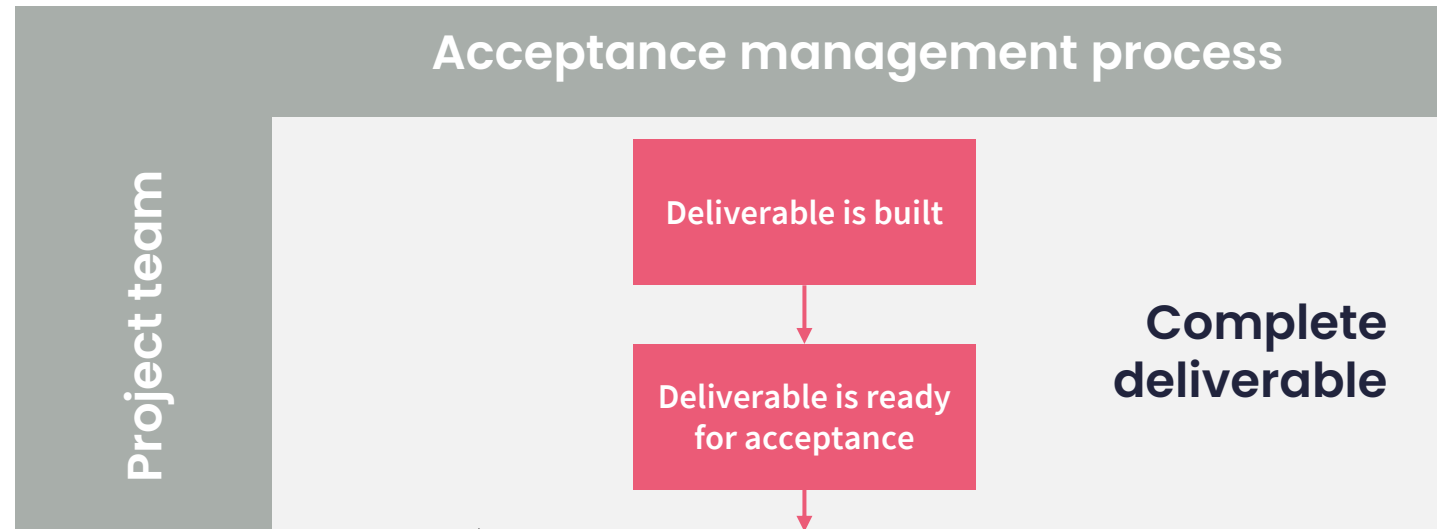
**I want to
be able
to alter
stock
numbers**

**so that
availability
on the site
is correct.**



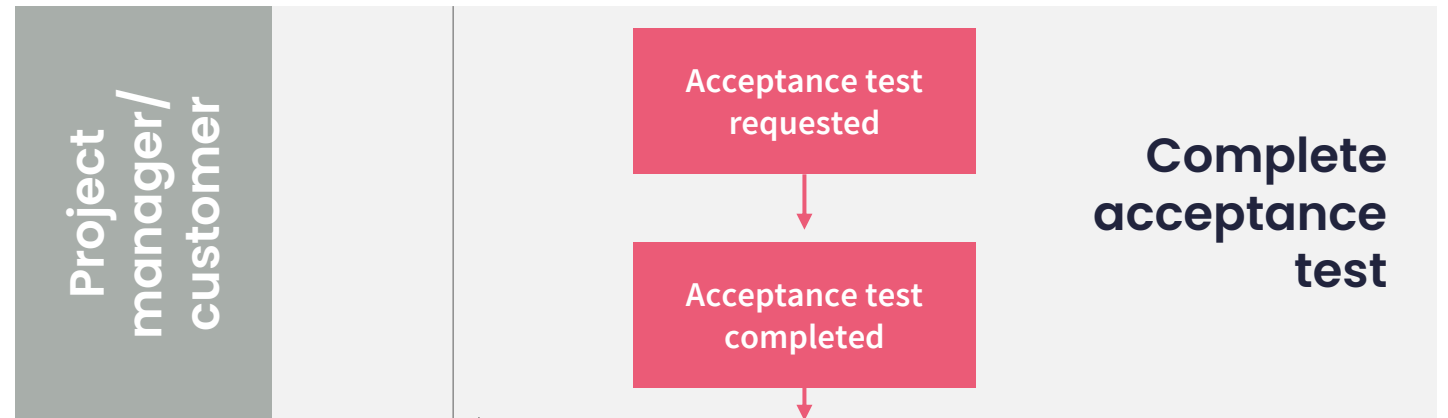
Complete deliverable

- Deliverables & tasks should align with the project scope
- Final deliverables are documented
- The deliverables are then presented to the customer



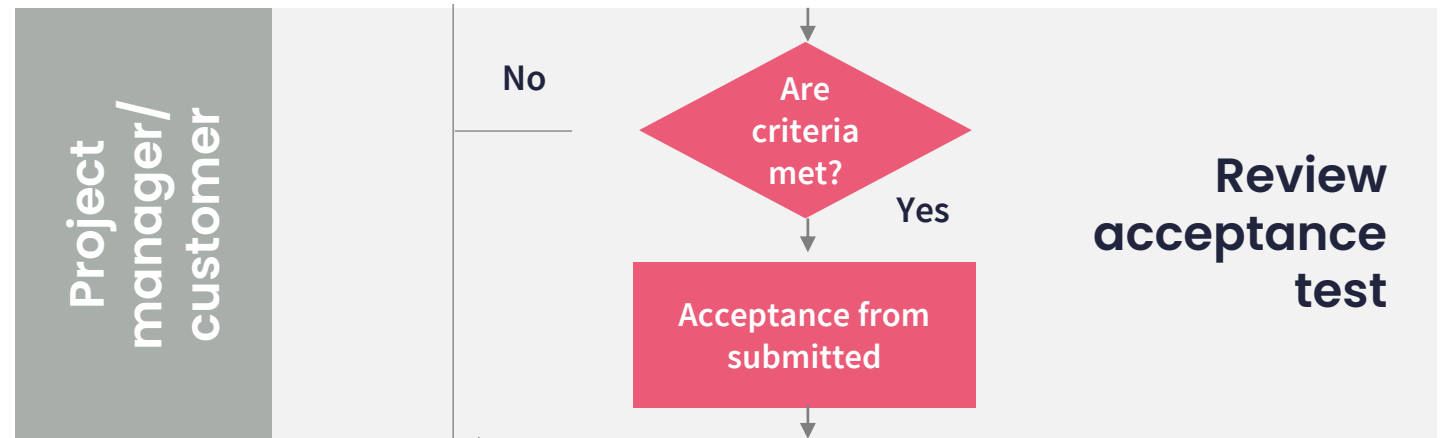
Complete acceptance test

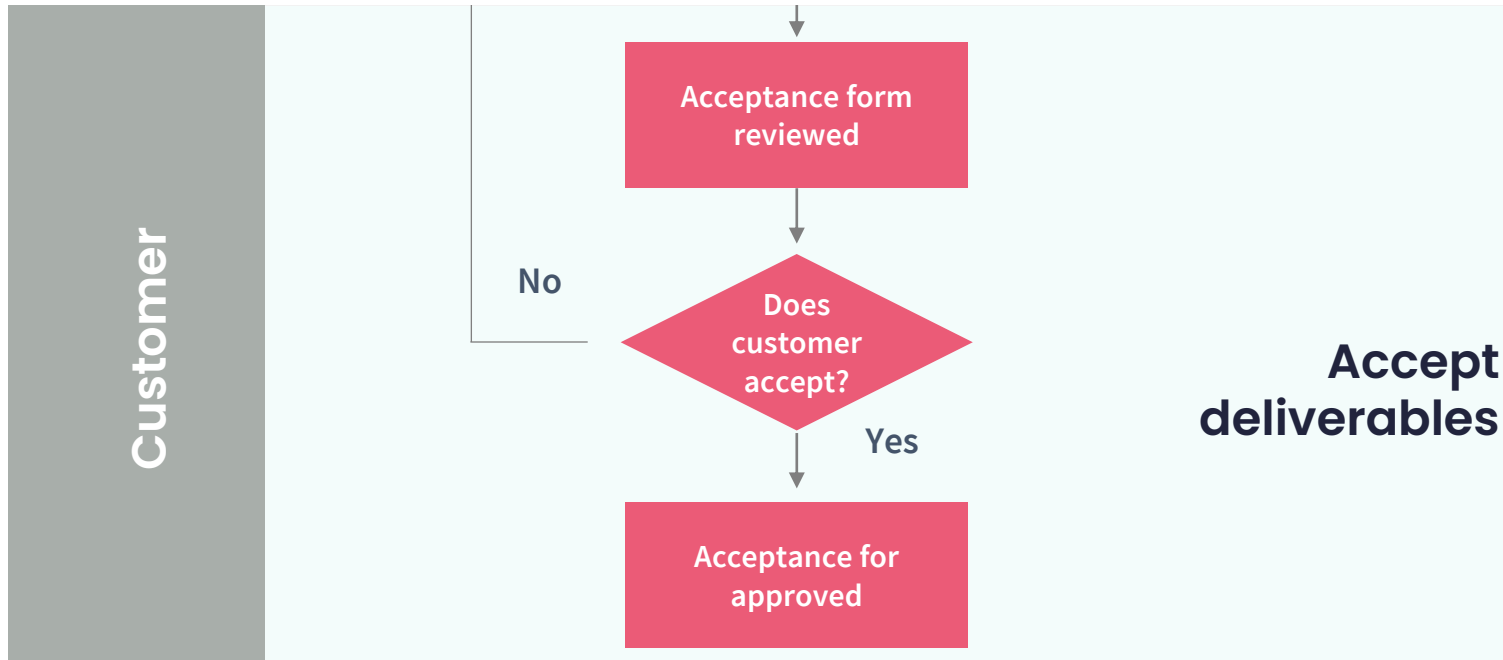
- Presented product/service is evaluated in the following ways:
 - Inspection of the deliverable
 - Quality review
 - Expected cost vs actual cost
 - Project timeline vs actual timeline
 - Process review
 - Audit by a third party



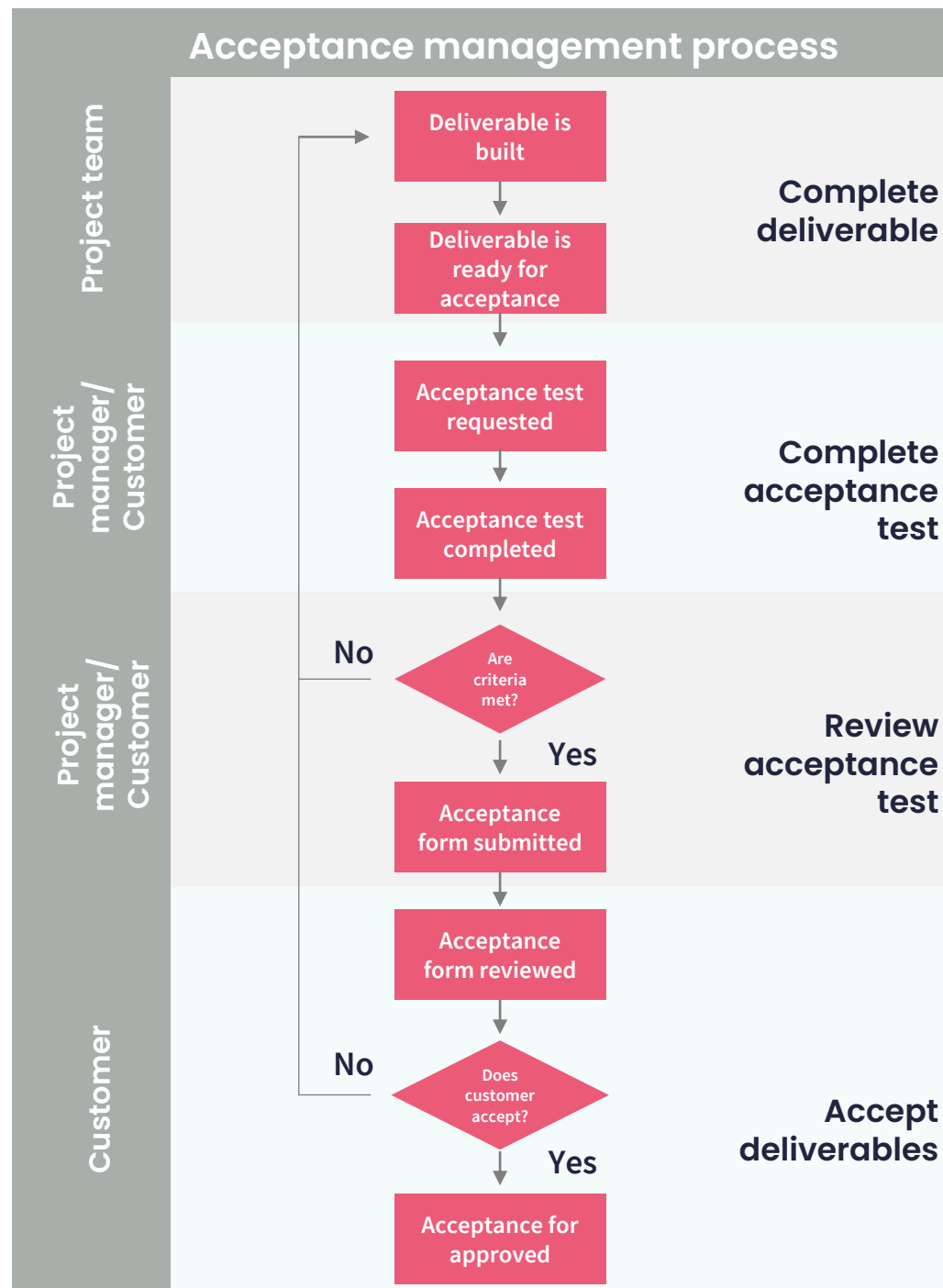
Review acceptance test

- Audit results of testing
- Evaluate functional outcomes in relation to project requirements, for example, training and tools





Accept deliverables



Acceptance Management process

Coming up in Lesson 6...



Project Execution

Tasks involved in project execution

- Documents produced through execution phase
- Key performance areas

Project leadership

- Soft vs hard skills
- Directive vs supportive leadership

Challenge

Think up your own user story. Then walk through the possible events that would take place in the acceptance management process.

